

**SUBSTITUTE FOR
SENATE BILL NO. 473**

A bill to amend 1984 PA 270, entitled
"Michigan strategic fund act,"
by amending sections 9 and 90j (MCL 125.2009 and 125.2090j),
section 9 as amended by 2024 PA 117 and section 90j as added by
2017 PA 109, and by adding chapter 8F; and to repeal acts and parts
of acts.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 9. (1) The fund shall transmit to each member of the
2 legislature, the governor, the clerk of the house of
3 representatives, the secretary of the senate, and the senate and
4 house fiscal agencies annually a report of its activities. The
5 report must be transmitted not later than April 10 of each year for
6 activities in the immediately preceding state fiscal year. The



1 report must not include information exempt from disclosure under
2 section 5. The report must include, but is not limited to, all of
3 the following for each program operated under this act:

4 (a) A list of entities that received financial assistance.

5 (b) The type of project or product being financed.

6 (c) The amount and type of financial assistance.

7 (d) For each separate form of financial assistance, all of the
8 following:

9 (i) The number of new jobs committed or projected when the
10 financial assistance was applied for.

11 (ii) The number of retained jobs committed or projected when
12 the financial assistance was applied for.

13 (iii) The actual number of new jobs created that are not
14 temporary employees.

15 (iv) The actual number of retained jobs that are not temporary
16 employees.

17 (v) The average annual salary of the new jobs created that are
18 not temporary employees.

19 (vi) The average annual salary of the retained jobs that are
20 not temporary employees.

21 (e) The duration of the financial assistance.

22 (f) The amount of financial support other than state
23 resources.

24 (g) Money or other revenue or property returned to the fund,
25 including any repayments through a clawback provision in the
26 agreement.

27 (h) The status of all loans of the fund.

28 (i) A list of all entities that are in bankruptcy, of which
29 the fund has received actual notice, filed by a direct recipient of



1 an active single incentive of not less than \$500,000.00. In
2 addition, the fund shall, ~~within~~ **not later than** 120 days after the
3 fund receives notice, provide a report of the notice of bankruptcy
4 on its website and forward the report to each of the following:

5 (i) The senate majority leader and the senate minority leader.

6 (ii) The speaker of the house and the house minority leader.

7 (iii) The members of the house ~~commerce and tourism~~ **economic**
8 **competitiveness** committee.

9 (iv) The members of the house appropriations subcommittee on
10 general government.

11 (v) The members of the senate economic and ~~small business~~
12 **community** development committee.

13 (vi) The members of the senate appropriations subcommittee on
14 general government.

15 (j) A summary of the approximate administrative costs used to
16 administer the programs and activities authorized under this act.

17 (k) Any other information as required by this section.

18 (2) The auditor general or a certified public accountant
19 appointed by the auditor general annually shall conduct and remit
20 to the legislature an audit of the fund **permitted under section 53**
21 **of article IV of the state constitution of 1963**, and, in the
22 conduct of the audit, shall have access to all records of the fund
23 at any time, whether or not confidential. Each audit required by
24 this section must include a determination of whether the fund is
25 likely to be able to continue to meet its obligations, including a
26 report on the status of outstanding loans and agreements made by
27 the fund.

28 (3) The fund shall also transmit the audit described in
29 subsection (2) to the chairperson and minority vice-chairperson of



1 the senate appropriations subcommittee on general government and
2 the house of representatives appropriations subcommittee on general
3 government. The fund shall make the report and audit available to
4 the public on the fund's website.

5 (4) The report described in subsection (1) must also contain
6 all of the following that are related to a 21st century investment
7 made by the fund board under chapter 8A:

8 (a) The amount of qualified venture capital fund investments,
9 qualified mezzanine fund investments, and qualified private equity
10 fund investments under management in this state, including year-to-
11 year growth.

12 (b) The value of loan enhancement program investments,
13 qualified private equity fund investments, qualified mezzanine fund
14 investments, and qualified venture capital investments in qualified
15 businesses, including year-to-year growth.

16 (c) A statement of the amount of money in each loan reserve
17 fund established under the small business capital access program
18 required under chapter 8A.

19 (5) The report described in subsection (1) must also include,
20 but is not limited to, all of the following for all actions under
21 section 88r:

22 (a) The total actual amount of qualified investment attracted
23 under section 88r as reported to the fund.

24 (b) The total actual number of new jobs created under section
25 88r as reported to the fund.

26 (c) The actual amount of the grant, loan, or other economic
27 assistance made under section 88r separately for each qualified
28 business verified by the fund.

29 (d) For each qualified business, whether it is a new business,



1 whether it is an expansion of an existing business, or whether it
2 relocated from outside of this state.

3 (e) An evaluation of the aggregate return on investment that
4 this state realizes on the actual qualified new jobs and actual
5 qualified investment made by qualified businesses.

6 (6) The report described in subsection (1) must also include,
7 but is not limited to, all of the following for all actions under
8 chapter 8B:

9 (a) For tourism promotion efforts, all of the following:

10 (i) An itemized list, by market, of how much was spent, types
11 of media purchased, and target of the tourism promotion campaign.

12 (ii) The return on investment analysis that utilizes existing
13 baseline data and compares results with prior outcome evaluations
14 funded by Travel Michigan.

15 (b) For business development efforts, all of the following:

16 (i) An itemized list, by market, of how much was spent, types
17 of media purchased, and target of the business promotion campaign.

18 (ii) A performance analysis that compares the program or
19 campaign objectives and outcome of the campaign or program.

20 (7) The report described in subsection (1) must also include,
21 but is not limited to, all of the following for all actions under
22 section 90d:

23 (a) The total actual amount of private investment attracted
24 under section 90d as reported to the fund.

25 (b) The actual amount of the community revitalization
26 incentives made under chapter 8C separately for each project.

27 (c) The total actual amount of square footage revitalized or
28 added for each project approved under section 90d as reported to
29 the fund. When reporting square footage, the person must report the



1 square footage by category, including, but not limited to,
 2 commercial, residential, or retail.

3 (d) The aggregate increase in taxable value of all property
 4 subject to a written agreement under chapter 8C when established
 5 and recorded by the local units of government and as reported to
 6 the fund.

7 (e) The total actual number of residential units revitalized
 8 or added for each project approved under section 90d as reported to
 9 the fund.

10 (f) Each project that received a community revitalization
 11 incentive outside the fund program standards and guidelines and why
 12 the variance was given.

13 (8) Beginning on and after January 1, 2012, on a monthly basis
 14 the fund shall provide exact copies of all information regarding
 15 all actions under chapter 8C that is provided to board members of
 16 the fund for the purpose of monthly board meetings, subject to
 17 confidentiality under section 5, to each of the following and post
 18 that information on the fund's website:

19 (a) The chairperson and minority vice-chairperson of the house
 20 ~~commerce and tourism~~ **economic competitiveness** committee.

21 (b) The chairperson and minority vice-chairperson of the house
 22 appropriations subcommittee on general government.

23 (c) The chairperson and minority vice-chairperson of the
 24 senate economic and ~~small business~~ **community** development committee.

25 (d) The chairperson and minority vice-chairperson of the
 26 senate appropriations subcommittee on general government.

27 (9) The report described in subsection (1) must also include a
 28 summary of the approximate administrative costs used to administer
 29 the programs and activities authorized in the following sections:



1 (a) Section 88b.

2 (b) Section 88h.

3 (c) Section 90b.

4 (10) The report described in subsection (1) must also include,
5 but is not limited to, all of the following for all actions for
6 business incubators approved by the fund after January 14, 2015:

7 (a) The number of new jobs created and projected new job
8 growth by current clients of the business incubator.

9 (b) Amounts of other funds leveraged by current clients of the
10 business incubator.

11 (c) Increases in revenue for current clients of the business
12 incubator.

13 (11) The report described in subsection (1) must also include
14 the actual repayments received by the fund for failure to comply
15 with clawback provisions of the written agreement under all of the
16 following:

17 (a) Section 78.

18 (b) Section 88d.

19 (c) Section 88k.

20 (d) Section 88q.

21 (e) Section 88r.

22 (f) Section 90b.

23 **(g) Chapter 8F.**

24 (12) Beginning on July 1, 2015, the fund shall post on the
25 fund's website a list of each contract, agreement, or other written
26 loan or grant documentation for financial assistance under sections
27 88r and 90b that the fund entered into or modified in the
28 immediately preceding fiscal year.

29 (13) Beginning on July 1, 2015, the fund shall post and update



1 periodically all of the following on its website for all loans made
2 under sections 88r and 90b:

3 (a) A description of the project for which the loan was made.

4 (b) The total amount of the loan.

5 (c) Whether payments on the loan balance are current or
6 delinquent.

7 (d) The interest rate of the loan.

8 (14) Beginning July 1, 2015, the report described in
9 subsection (1) must also contain all of the following for each
10 program that provides financial assistance under this act that
11 requires a site visit:

12 (a) A copy of the site visit guidelines for that program.

13 (b) The number of site visits conducted under that program.

14 (c) The chief compliance officer shall review and evaluate
15 compliance with the site visit guidelines.

16 (15) The fund shall post on its website and update
17 periodically all of the information described in subsection (14).

18 (16) The report described in subsection (1) must also include,
19 but is not limited to, all of the following for all written
20 agreements related to the good jobs for Michigan program created
21 under chapter 8D **or the more jobs for Michigan program created**
22 **under chapter 8F:**

23 (a) The name of the authorized business **or authorized**
24 **employer.**

25 (b) The number of certified new jobs **or protected jobs**
26 required to be **created or** maintained.

27 (c) The amount and duration of the withholding tax capture
28 revenues.

29 (17) The report described in subsection (1) must also include



1 the activities of the critical industry program described in
2 section 88s.

3 (18) The report described in subsection (1) must also include
4 the activities of the Michigan strategic site readiness program
5 described in section 88t.

6 (19) The fund shall cooperate with the department of treasury
7 and assist in preparing the report required under section 718 of
8 the income tax act of 1967, 1967 PA 281, MCL 206.718.

9 **(20) The MEDC may perform the administrative functions of the**
10 **fund under this section on behalf of the fund.**

11 **(21)** ~~(20)~~As used in this section, "financial assistance"
12 means grants, loans, other economic assistance, and any other
13 incentives or assistance under this act.

14 Sec. 90j. (1) The good jobs for Michigan fund is created
15 within the state treasury. The state treasurer may receive money or
16 other assets from any source for deposit into the fund. The state
17 treasurer shall direct the investment of the fund. The state
18 treasurer shall credit all amounts deposited pursuant to section
19 ~~51f~~**51f(1)** of the income tax act of 1967, 1967 PA 281, MCL 206.51f,
20 to the fund and shall credit to the fund any interest and earnings
21 from fund investments. Money in the fund at the close of the fiscal
22 year ~~shall remain~~**remains** in the fund and ~~shall~~**does** not lapse to
23 the general fund.

24 (2) The good jobs for Michigan fund may be used only for 1 or
25 more of the following purposes:

26 (a) To make withholding tax capture revenue payments in
27 accordance with a written agreement to an authorized business
28 ~~within~~**not later than** 90 days after receipt of a request for
29 payment and a copy of the withholding certificate issued under



1 section 90i.

2 (b) To distribute an amount equal to 5% of the withholding tax
3 capture revenue payments certified under section 90i to the
4 Michigan strategic fund to pay for ~~administration~~**administrative**
5 expenses.

6 CHAPTER 8F

7 Sec. 90t. As used in this chapter:

8 (a) "Affiliated business" means a person that is at least 50%
9 owned and controlled, directly or indirectly, by an associated
10 business.

11 (b) "Associated business" means a person that is at least 50%
12 owned and controlled, directly or indirectly, by an eligible
13 business.

14 (c) "Authorized employer" means an eligible business that has
15 met the requirements under section 90w, 90x, or 90y, as applicable,
16 and that has entered into a written agreement with the fund for
17 withholding tax capture revenues under this chapter and section 51f
18 of the income tax act of 1967, 1967 PA 281, MCL 206.51f, and any
19 related business that also has entered into the written agreement
20 with the fund.

21 (d) "Base employment level" means the number of full-time jobs
22 in this state of an eligible business and any related business when
23 the eligible business or related business enters into a written
24 agreement under this chapter, as determined by the fund.

25 (e) "Casino" means a casino regulated by this state under the
26 Michigan Gaming Control and Revenue Act, 1996 IL 1, MCL 432.201 to
27 432.226, a casino at which gaming is conducted under the Indian
28 gaming regulatory act, Public Law 100-497, or property associated
29 or affiliated with the operation of either type of casino described



1 in this subdivision, including, but not limited to, a parking lot,
2 hotel, or motel.

3 (f) "Certified new job" means a full-time job created by an
4 authorized employer or connected employer pursuant to a written
5 agreement under section 90w or 90x at a facility that is in excess
6 of any base employment level or qualifying employment level
7 applicable under the written agreement. Certified new job does not
8 include a full-time job relocated from another location in this
9 state to the facility.

10 (g) "Collocated employer" means a person that has entered into
11 a contract with an authorized employer to employ individuals at the
12 location of the facility of the authorized employer for a period of
13 1 or more years.

14 (h) "Connected employer" means a collocated employer or a
15 qualified supplier.

16 (i) "Eligible business" means a person other than a retail
17 establishment, professional sports stadium, casino, or that portion
18 of an eligible business used exclusively for retail sales that
19 proposes to create certified new jobs in this state under section
20 90w or 90x or maintain protected jobs in this state under section
21 90y and that, as determined by the fund, satisfies all of the
22 following:

23 (i) Is located in or plans to locate in this state.

24 (ii) Is organized pursuant to and in good standing under the
25 laws of the state in which the person was formed.

26 (iii) Is registered to conduct business in this state and is in
27 good standing under the laws of this state.

28 (iv) Has the power to enter into an agreement with the fund
29 under this chapter.



(j) "Eligible distressed area" means that term as defined in section 11 of the state housing development authority act of 1966, 1966 PA 346, MCL 125.1411.

(k) "Facility" means a site or sites within this state in which an authorized employer, connected employer, eligible business, or related business creates or proposes to create certified new jobs under section 90w or 90x or maintains or proposes to maintain protected jobs under section 90y, as determined by the fund. Facility does not include a site within this state with respect to which an authorized employer, connected employer, eligible business, or related business received any of the following:

(i) A qualified investment under the critical industry program under section 88s.

(ii) A grant, loan, or other economic assistance under the Michigan strategic site readiness program under section 88t.

(iii) Tax credits authorized under the Michigan economic growth authority act, 1995 PA 24, MCL 207.801 to 207.810.

(l) "Full-time job" means a job based in this state that is performed by an individual who is employed for consideration for not less than 35 hours of work each week and for whom an employer withholds income taxes under the income tax act of 1967, 1967 PA 281, MCL 206.1 to 206.847, and United States Social Security taxes.

(m) "Geographically disadvantaged area" means a geographic area in this state that includes 1 or more of the following:

(i) A qualified opportunity zone as that term is defined in 26 USC 1400Z-1.

(ii) A HUBZone as that term is defined in 13 CFR 126.103.

(n) "More jobs for Michigan fund" means the more jobs for



1 Michigan fund created in section 90v.

2 (o) "Prosperity region" means that term as defined in section
3 90g.

4 (p) "Prosperity region median wage" means the median annual
5 wage for the prosperity region where a facility is or will be
6 located based on the most recent data made available by the
7 Michigan bureau of labor market information and strategic
8 initiatives.

9 (q) "Protected jobs" means the number of full-time jobs at a
10 facility of an authorized employer maintained in this state on a
11 specific date as that date and number of full-time jobs are
12 determined by the fund.

13 (r) "Qualified supplier" means a person located or operating
14 in this state that meets all of the following requirements:

15 (i) Creates 10 or more new full-time jobs in this state as a
16 result of a new or increased business activity in this state
17 between the person and an authorized employer, eligible business,
18 or related business, as determined by the fund.

19 (ii) Provides both of the following to an authorized employer,
20 eligible business, or related business pursuant to a contract
21 between the person and the authorized employer, eligible business,
22 or related business:

23 (A) \$5,000,000.00 or more of tangible personal property or
24 services to the authorized employer, eligible business, or related
25 business in a calendar year, as determined by the fund.

26 (B) 10% or more of the total tangible personal property or
27 services provided to the authorized employer, eligible business, or
28 related business in a calendar year, as determined by the fund.

29 (s) "Qualifying employment level" means not less than 3,000



1 full-time jobs in this state with a median annual wage of 150% or
2 more of the prosperity region median wage as of a date provided in
3 a written agreement under section 90x.

4 (t) "Related business" means an affiliated business, an
5 associated business, or a subsidiary business.

6 (u) "Subsidiary business" means a person that is directly or
7 indirectly controlled or at least 80% owned by an eligible
8 business.

9 (v) "United States Consumer Price Index" means the United
10 States Consumer Price Index for All Urban Consumers as defined and
11 reported by the United States Department of Labor, Bureau of Labor
12 Statistics, including any successor index.

13 (w) "Withholding tax capture revenues" means the amount of
14 income tax withheld under chapter 17 of the income tax act of 1967,
15 1967 PA 281, MCL 206.701 to 206.718, each calendar year that is
16 attributable to individuals employed in certified new jobs under
17 section 90w or 90x or protected jobs under section 90y pursuant to
18 a written agreement.

19 (x) "Written agreement" means a written agreement made between
20 the fund and an eligible business under section 90w, 90x, or 90y
21 and any related business.

22 Sec. 90u. (1) The fund shall create the more jobs for Michigan
23 program to authorize the transfer of a dedicated portion of
24 withholding tax capture revenues to authorized employers that
25 provide certified new jobs in this state in excess of a base
26 employment level under section 90w, provide certified new jobs in
27 connection with a transformational job creation project in excess
28 of any base employment level or qualifying employment level under
29 section 90x, or maintain protected jobs in this state under section



1 90y. The program shall be operated and administered in compliance
2 with this chapter by the authorized employees, officers, and agents
3 of the fund, which may include employees of the MEDC. Except as
4 otherwise provided in this subsection, the board may delegate to
5 its president, its vice president, employees of the fund, or
6 employees or officers of the MEDC, the functions and
7 responsibilities under this chapter that the board considers
8 necessary or appropriate to administer this chapter. The fund shall
9 adopt program guidelines and use a detailed application, approval,
10 and compliance process that is published and available on the
11 fund's website. However, the fund shall not enter into a written
12 agreement under this chapter unless both of the following
13 requirements are met:

14 (a) The board adopts a resolution authorizing the fund to
15 enter into the written agreement.

16 (b) Before adopting the resolution described in subdivision
17 (a), the fund provides written notice of the meeting at which the
18 proposed resolution is on the agenda to all of the following:

19 (i) The senate majority leader.

20 (ii) The senate minority leader.

21 (iii) The speaker of the house of representatives.

22 (iv) The minority leader of the house of representatives.

23 (v) The members of the senate and house of representatives who
24 represent the municipality in which the facility is located.

25 (vi) The local governing body of the municipality in which the
26 facility is located.

27 (2) An eligible business and 1 or more related businesses may
28 apply to the fund under section 90w, 90x, or 90y to enter into a
29 written agreement that authorizes the payment of withholding tax



1 capture revenues under this chapter. Each applicant shall submit
2 with the application a certified schedule listing all violations
3 within the 3-year period immediately preceding the date of the
4 application. The schedule must include any information required by
5 the fund to comply with this subdivision. For any violation that is
6 not a resolved violation, the schedule must include an action plan
7 on resolving the violation. If the schedule or other information
8 available to the fund indicates that an applicant has a violation
9 that is not a resolved violation, the fund shall not enter into a
10 written agreement with the applicant unless the applicant submits
11 evidence, to the satisfaction of the fund, that there is a
12 sufficient action plan to resolve the violation or the violation is
13 in the process of being resolved. The fund shall not enter into a
14 written agreement with the applicant if the schedule or other
15 information available to the fund indicates that either of the
16 following applies:

17 (a) In the 3-year period immediately preceding the date of
18 application, the applicant has been issued 5 or more notices of
19 violation of environmental regulations, or has an administrative
20 consent order or a consent judgment involving environmental
21 regulations that includes stipulated penalties, unless the
22 department of environment, Great Lakes, and energy finds the
23 applicant has made improvements in operations to come into
24 compliance with this state's environmental regulations, or other
25 demonstrated ability to comply with this state's environmental
26 regulations.

27 (b) In the 3-year period immediately preceding the date of
28 application, the applicant was subject to any of the following:

29 (i) A criminal penalty under section 35(4) or 35a(4) of the



1 Michigan occupational safety and health act, 1974 PA 154, MCL
2 408.1035 and 408.1035a, for a willful or repeated violation of the
3 Michigan occupational safety and health act, 1974 PA 154, MCL
4 408.1001 to 408.1094, an order issued under that act, or a rule or
5 standard promulgated under that act.

6 (ii) A criminal conviction under section 35(5) or 35a(5) of the
7 Michigan occupational safety and health act, 1974 PA 154, MCL
8 408.1035 and 408.1035a, for a willful violation of the Michigan
9 occupational safety and health act, 1974 PA 154, MCL 408.1001 to
10 408.1094, an order issued under that act, or a rule or standard
11 promulgated under that act that causes the death of an employee.

12 (iii) Inclusion in the Michigan occupational safety and health
13 administration's severe violator enforcement program.

14 (3) The fund may request information, in addition to that
15 contained in an application and the schedule as the fund determines
16 necessary to permit the fund to discharge its responsibilities
17 under this chapter.

18 (4) The amount of withholding tax capture revenues certified
19 by the department of treasury to be paid to an authorized employer
20 may be reduced by not more than 4%, as determined by the fund and
21 provided in a written agreement, and that amount must be retained
22 by the fund or the MEDC for administrative expenses incurred by the
23 fund or the MEDC under this chapter. The fund may enter into an
24 agreement with the MEDC and the department of treasury regarding
25 the administration of this chapter and related administrative
26 expenses.

27 (5) A written agreement must include, without limitation,
28 information required under section 90w, 90x, or 90y, and all of the
29 following, as applicable:



1 (a) A description of any expansion, development, facility, or
2 location that is the subject of the written agreement.

3 (b) Conditions on which the designation as an authorized
4 employer is made.

5 (c) A statement from the authorized employer that the
6 authorized employer would not otherwise add certified new jobs
7 under section 90w or 90x or retain protected jobs under section 90y
8 as provided for under the written agreement without the withholding
9 tax capture revenue payments authorized under this chapter.

10 (d) A provision indicating that misrepresentation in an
11 application under this chapter may result in the revocation of the
12 designation as an authorized employer and the repayment of some or
13 all of the withholding tax capture revenues received under this
14 chapter, which may include a penalty equal to 10% of the
15 withholding tax capture revenue payments received under this
16 chapter.

17 (e) A method for measuring and verifying certified new jobs
18 required pursuant to the written agreement.

19 (f) A method for measuring and verifying protected jobs
20 maintained pursuant to the written agreement.

21 (g) A provision requiring the authorized employer that is
22 certified under this chapter for a payment from the more jobs for
23 Michigan fund to do both of the following:

24 (i) File the information, returns, or reports required under
25 this chapter and chapter 17 of the income tax act of 1967, 1967 PA
26 281, MCL 206.701 to 206.718, with the department of treasury.

27 (ii) Provide any other information reasonably requested by the
28 fund, the MEDC, or the department of treasury.

29 (h) A maximum amount of withholding tax capture revenues that



1 an authorized employer may claim before reduction of the not more
2 than 4% payment for administrative expenses under subsection (4),
3 as provided in the written agreement.

4 (i) Specific penalties for noncompliance with the written
5 agreement, including, but not limited to, provisions for a clawback
6 of disbursements to the authorized employer under the written
7 agreement, as provided in the written agreement.

8 (j) A provision for the termination of the written agreement.

9 (k) An audit provision requiring the fund to verify that the
10 authorized employer has satisfied the requirements of the written
11 agreement.

12 (l) A provision requiring the authorized employer to disclose
13 to the fund whether, to the knowledge of the authorized employer,
14 there are any pending legal proceedings that could have a
15 materially adverse effect on the authorized employer, a facility
16 that is the subject of the written agreement, or the performance of
17 the obligations of the authorized employer under the written
18 agreement.

19 (m) A provision requiring an authorized employer and any
20 general contractor or subcontractor of the authorized employer to
21 comply with any requirements applicable under laws specified in the
22 written agreement.

23 (n) A projected schedule of withholding tax capture revenues
24 permitted under the written agreement, which may be updated by the
25 fund to ensure an accurate projection of withholding tax capture
26 revenues and compliance with this chapter during the term of the
27 written agreement.

28 (6) On execution of a written agreement under this chapter, an
29 eligible business and any related business is an authorized



1 employer. The fund shall provide a copy of each written agreement
2 to the department of treasury. On execution of the written
3 agreement, the transfer and payment of withholding tax capture
4 revenues as specified in this chapter and in the written agreement
5 is binding on this state and the authorized employer. The state
6 treasurer shall calculate, based on this chapter and the written
7 agreements received under this subsection, the amount of
8 withholding tax capture revenues collected as a result of the
9 certified new jobs created or protected jobs maintained pursuant to
10 this chapter and those written agreements for each calendar year
11 and the percentage of that amount that needs to be transferred from
12 the general fund and deposited, in accordance with section 51f of
13 the income tax act of 1967, 1967 PA 281, MCL 206.51f, into the more
14 jobs for Michigan fund. The fund shall issue payments to the
15 authorized employer in a manner consistent with this chapter and
16 retain money for administration of this chapter as permitted by
17 this chapter.

18 (7) The state treasurer shall develop methods and processes
19 that are necessary for the authorized employer to report the amount
20 of withholding under chapter 17 of the income tax act of 1967, 1967
21 PA 281, MCL 206.701 to 206.718, from individuals employed in
22 certified new jobs or protected jobs and for the determination of
23 withholding tax capture revenues under this chapter and the income
24 tax act of 1967, 1967 PA 281, MCL 206.1 to 206.847.

25 (8) The fund may enter into agreements with an eligible
26 business other than an authorized employer, including, but not
27 limited to, a connected employer, as the fund determines necessary
28 for the implementation and enforcement of this chapter and a
29 written agreement with an authorized employer under this chapter.



1 (9) Subject to any limits applicable under this section or
2 section 90w, 90x, or 90y, an authorized employer is eligible to
3 receive withholding tax capture revenue payments under this chapter
4 as provided in this chapter.

5 (10) Except as otherwise provided under subsection (11), the
6 fund shall issue a withholding certificate each calendar year to an
7 authorized employer pursuant to the written agreement that states
8 all of the following:

9 (a) That the authorized employer is an authorized employer
10 under this chapter.

11 (b) The amount of withholding tax capture revenues to be paid
12 to the authorized employer from the more jobs for Michigan fund for
13 the designated calendar year.

14 (c) The authorized employer's federal employer identification
15 number or the Michigan treasury number assigned to the authorized
16 employer, or both.

17 (11) The fund shall provide the department of treasury with a
18 copy of each withholding certificate issued under this section. On
19 receipt of a withholding certificate, an authorized employer may
20 request a payment from the more jobs for Michigan fund by filing a
21 copy of the withholding certificate with the fund. The fund shall
22 issue the withholding tax capture revenue payment from the more
23 jobs for Michigan fund not later than 90 days after receipt of the
24 request for payment from the authorized employer.

25 (12) The fund may retain an amount that is not more than 4% of
26 the withholding tax capture revenue payments authorized for that
27 year for the fund and the MEDC as provided in written agreements.
28 The fund may use the amount described in this subsection to pay for
29 the administrative expenses under this chapter. The fund may use



1 application fees or administrative fees received for activities
2 authorized under this chapter and for the administrative activities
3 of the fund and the MEDC authorized under this chapter.

4 (13) As a condition of being an authorized employer, an
5 authorized employer authorizes the fund to identify the authorized
6 employer and disclose the amount and duration of the withholding
7 tax capture revenue payments. The fund shall publish the
8 information described in this subsection on the fund's website and
9 include this information in the report required under section 9.

10 (14) In the event of a proposed reorganization, merger, or
11 other change of ownership of the authorized business for which
12 reimbursement will continue pursuant to a written agreement, the
13 approval of the fund is required before the assignment or transfer
14 of the written agreement. If a written agreement is assigned or
15 transferred under this subsection, the new owner is responsible for
16 the consequences of any of the following that occur in the 12
17 months immediately preceding the date on which the written
18 agreement is assigned or transfer:

19 (a) A violation of the written agreement.

20 (b) An audit determination.

21 (c) The imposition of a penalty under the written agreement.

22 (15) The legislature finds and declares that activity under
23 this chapter to promote economic development and support job
24 creation and protection in this state is for a public purpose.

25 (16) The fund may not enter into a new agreement under this
26 chapter after December 31, 2032.

27 (17) As used in subsection (2):

28 (a) "Resolved violation" means a violation where the terms of
29 a settlement, consent agreement, conviction, decision, or other

1 final determination has been fully satisfied.

2 (b) "Violation" means a formal enforcement action issued by
3 this state, a political subdivision of this state, or the federal
4 government in response to a violation of environmental,
5 occupational safety, or public health regulations that has occurred
6 in this state, including, but not limited to, a violation notice,
7 enforcement notice, order to correct, licensing violation notice,
8 and stop work order.

9 Sec. 90v. (1) The more jobs for Michigan fund is created in
10 the state treasury.

11 (2) The state treasurer shall deposit money and assets
12 received under section 51f(2) of the income tax act of 1967, 1967
13 PA 281, MCL 206.51f, or from any other source in the more jobs for
14 Michigan fund. The state treasurer shall direct the investment of
15 money in the more jobs for Michigan fund and credit interest and
16 earnings from the investments to the more jobs for Michigan fund.

17 (3) Money in the fund at the close of the fiscal year remains
18 in the fund and does not lapse to the general fund.

19 (4) The fund is the administrator of the more jobs for
20 Michigan fund for audits of the more jobs for Michigan fund.

21 (5) The fund shall expend money from the more jobs for
22 Michigan fund, on appropriation, only to make withholding tax
23 capture revenue payments in accordance with a written agreement
24 within 90 days after receipt of a request for payment and a copy of
25 the withholding certificate issued under this chapter.

26 (6) For any future state fiscal year that the fund, after
27 consultation with the department of treasury, projects that
28 withholding tax capture revenue payments will be required to be
29 paid to an authorized employer under this chapter, the fund shall



1 notify the state budget director of that required activity for
 2 inclusion in annual proposals developed by the state budget
 3 director under section 344 of the management and budget act, 1984
 4 PA 431, MCL 18.1344. In preparing an executive budget for that
 5 fiscal year for submission to the legislature as provided in
 6 section 348 of the management and budget act, 1984 PA 431, MCL
 7 18.1348, the state budget director shall include an appropriation
 8 from the more jobs for Michigan fund for the purpose of making
 9 withholding tax capture revenue payments from the more jobs for
 10 Michigan fund required under this chapter. The legislature shall
 11 appropriate money from the more jobs for Michigan fund for the
 12 purpose of making payments from the more jobs for Michigan fund
 13 required under this chapter.

14 Sec. 90w. (1) After receipt of an application in a form
 15 determined by the fund, the fund may enter into a written agreement
 16 with the applicant for withholding tax capture revenues under this
 17 chapter if the fund determines that all of the following
 18 requirements are or will be satisfied:

19 (a) Subject to subdivisions (b) and (c), the applicant
 20 proposes to create at a facility 1 or more of the following:

21 (i) 10 or more certified new jobs that pay at least 175% of the
 22 prosperity region median wage.

23 (ii) 10 or more certified new jobs at a facility in a county
 24 with a population of 50,000 or less that pay at least 135% of the
 25 prosperity region median wage.

26 (iii) 250 or more certified new jobs that pay at least 150% of
 27 the prosperity region median wage.

28 (b) Except as otherwise provided in subdivision (c), an
 29 applicant must meet 1 of the following timelines, as applicable, or



1 both the applicant and the fund are released from the written
2 agreement:

3 (i) For an applicant whose location or expansion in this state
4 requires construction, including renovations or new construction,
5 the following timeline:

6 (A) The applicant must begin construction not later than 3
7 years after the date the written agreement is executed.

8 (B) The applicant must complete its first hire of an
9 individual to fill a certified new job not later than 2 years after
10 the start of construction.

11 (C) The applicant must create the certified new jobs as
12 provided in the written agreement and begin receiving withholding
13 tax capture revenues not later than 3 years after its first hire as
14 described in sub-subparagraph (B).

15 (ii) For an applicant whose location or expansion in this state
16 does not require construction, the following timeline:

17 (A) The applicant must complete its first hire of an
18 individual to fill a certified new job not later than 3 years after
19 the date the written agreement is executed.

20 (B) The applicant must create the certified new jobs as
21 provided in the written agreement and begin receiving withholding
22 tax capture revenues not later than 3 years after its first hire as
23 described in sub-subparagraph (A).

24 (c) The fund shall notify an applicant of an applicable
25 deadline under subdivision (b) not less than 90 days before the
26 deadline. The fund may extend an applicable deadline under
27 subdivision (b) for 1 year if the fund determines that the
28 applicant has proceeded in good faith with a location or expansion
29 in this state and there is good cause for the applicant's delay in

1 meeting the deadline. The fund may request, and the applicant shall
2 provide, any information the fund considers necessary to make the
3 determination under this subdivision.

4 (d) In addition to the certified new jobs specified in
5 subdivision (a), the applicant, if already located within this
6 state, agrees to a base employment level, as determined by the
7 fund.

8 (e) The plans for the creation of certified new jobs and any
9 renovation or new construction of a facility are economically
10 sound.

11 (f) The investment by the applicant and the creation of
12 certified new jobs in this state will serve the public purpose of
13 benefiting the people of this state by increasing opportunities for
14 employment and by strengthening the economy of this state as
15 determined by the fund.

16 (g) The withholding tax capture revenues offered under this
17 section and paid from the more jobs for Michigan fund are an
18 incentive to expand or locate the applicant in this state,
19 including, but not limited to, addressing a need for additional
20 assistance for deal closing or second stage company gap financing.

21 (h) A regional economic model cost benefit analysis recognized
22 by economic development professionals indicates that the proposed
23 payment of withholding tax capture revenues under this section to
24 the applicant will result in an overall positive fiscal impact to
25 this state.

26 (i) The applicant will create the requisite number of
27 certified new jobs within the time period provided in a written
28 agreement, as determined by the fund.

29 (j) The applicant will maintain the base employment level and



1 not less than the requisite number of certified new jobs throughout
2 the duration of the period of time that the applicant receives
3 withholding tax capture revenues paid from the more jobs for
4 Michigan fund. However, if the applicant fails to maintain the base
5 employment level and the requisite number of certified new jobs as
6 provided in the written agreement, the applicant will forfeit
7 withholding tax capture revenues for the period of time provided in
8 the written agreement.

9 (k) The applicant demonstrates to the satisfaction of the fund
10 that the applicant has paid taxes levied by the federal government,
11 this state, another state, or a political subdivision of this state
12 or another state that are due and payable by the applicant before
13 any penalty for nonpayment of the tax has attached, except for
14 taxes contested in good faith and pursuant to proceedings
15 authorized by law.

16 (l) The governing body of the municipality in which the
17 facility or proposed facility is located indicates its support for
18 the proposed expansion or new location.

19 (m) The applicant provides detailed hiring and training plans,
20 including any registered apprenticeships or certifications
21 provided, and agrees to coordinate with local workforce development
22 agencies, including local Michigan Works! Agencies, to attract and
23 train, if needed, a qualified workforce. As used in this
24 subdivision, "local Michigan Works! Agency" means a Michigan works
25 agency as that term is defined in section 3 of the Michigan works
26 one-stop service center system act, 2006 PA 491, MCL 408.113.

27 (2) If the fund determines that all of the requirements under
28 subsection (1) are or will be satisfied, subject to subsections (3)
29 and (4), the fund shall determine the amount and duration of the



1 withholding tax capture revenues to be authorized for the applicant
2 and shall enter into a written agreement as provided in this
3 chapter for a duration determined by the fund. Subject to
4 subsections (3) and (4), in determining the maximum amount and
5 maximum duration of the withholding tax capture revenues
6 authorized, the fund shall consider the following factors, if
7 applicable:

8 (a) The number of certified new jobs to be created.

9 (b) The degree to which the median annual wage of the
10 certified new jobs exceeds the prosperity region median wage.

11 (c) Whether providing an incentive for the creation of the
12 certified new jobs in this state aligns with any strategic plan for
13 state economic development applicable to the fund.

14 (d) Whether the applicant already has business operations
15 located in this state.

16 (e) Whether the certified new jobs created would be located in
17 an eligible distressed area or a geographically disadvantaged area.

18 (f) The level of investment by the applicant in relation to
19 the number of certified new jobs the applicant proposes to create.

20 (g) The potential impact of a proposed expansion, development,
21 or location on the economy of this state and the overall positive
22 return to this state.

23 (h) Whether the applicant has made a written commitment to
24 fund some portion of costs for applicable training of the
25 individuals who will perform the certified new jobs that will lead
26 to a professional or technical certification for these individuals.

27 (i) Whether the applicant will make a good-faith effort to
28 employ, if qualified, residents of this state at a facility.

29 (j) Whether the expansion or location of the applicant will



1 support or enable progress toward the following goals:

2 (i) Community enhancement or engagement opportunities.

3 (ii) Investing in this state's labor and workforce.

4 (iii) Enacting a workforce plan that includes recruitment,
5 hiring, training strategies, and advancement strategies for
6 employees.

7 (k) Whether the applicant has a recruitment and hiring plan to
8 increase employment opportunities for individuals with disabilities
9 or other individuals who are members of a targeted group identified
10 under section 51(d) of the internal revenue code of 1986, 26 USC
11 51.

12 (l) Whether the applicant offers or intends to offer child care
13 services at its facility or provide child care assistance for its
14 employees.

15 (3) Subject to subsection (4), the fund may allow an applicant
16 to receive up to 100% of withholding tax capture revenues for
17 certified new jobs for a period of not more than 10 years.

18 (4) The fund may extend the period for payment of withholding
19 tax capture revenues by not more than an additional 10 years if the
20 applicant proposes to create not less than 1,000 certified new jobs
21 and also proposes investments in the facility that exceed
22 \$1,000,000,000.00, as determined by the fund.

23 (5) After entering a written agreement under this section, the
24 fund shall post on its website or the website of the Michigan
25 economic development corporation the evaluation rubric detailing
26 which considerations were used to determine the maximum amount and
27 maximum duration of the withholding tax capture revenues authorized
28 under subsection (2) and the requirements under subsection (1).

29 (6) As used in this section, "applicant" means the eligible



1 business that submits an application to enter into a written
2 agreement under this section and any related business that also
3 will be a party to the written agreement.

4 Sec. 90x. (1) After receipt of an application in a form
5 determined by the fund, the fund may enter into a written agreement
6 with an applicant for withholding tax capture revenues under this
7 chapter if the fund determines that all of the following
8 requirements are or will be met:

9 (a) The applicant proposes a transformational job creation
10 project that will do both of the following:

11 (i) Create or provide for the creation of 3,000 or more
12 certified new jobs, in excess of any applicable base employment
13 level and the qualifying employment level, with a median annual
14 wage of 150% or more of the prosperity region median wage by a date
15 provided in the written agreement.

16 (ii) Invest \$20,000,000,000.00 or more in excess of the
17 qualifying investment level in a proposed facility by a date to be
18 included in the written agreement with the applicant.

19 (b) The applicant proposes to create the certified new jobs
20 specified in subdivision (a) not more than 10 years after achieving
21 the qualifying employment level.

22 (c) The facility and the creation of the certified new jobs
23 are determined by the fund to be in the economic interests of this
24 state.

25 (d) The facility and the creation of certified new jobs will
26 benefit the people of this state by increasing activities for
27 employment and strengthening the economy of this state, as
28 determined by the fund.

29 (e) The withholding tax capture revenues available under this



1 chapter and paid from the more jobs for Michigan fund are an
2 incentive to expand or locate the applicant in this state and
3 address the economic competitiveness of this state, as determined
4 by the fund.

5 (f) The qualifying employment level and qualifying investment
6 level will be reached within not more than 10 years as provided in
7 the written agreement.

8 (g) Any applicable base employment level and the qualifying
9 employment level will be maintained throughout the duration of the
10 period of time that the applicant receives withholding tax capture
11 revenues paid from the more jobs for Michigan fund.

12 (h) The applicant demonstrates to the satisfaction of the fund
13 that the applicant has paid taxes levied by the federal government,
14 this state, another state, or a political subdivision of this state
15 or another state that are due and payable by the applicant before
16 any penalty for nonpayment of the tax has attached, except for
17 taxes contested in good faith and pursuant to proceedings
18 authorized by law.

19 (2) If the fund determines that all of the requirements under
20 subsection (1) are or will be met, subject to subsection (3), the
21 fund shall determine the amount and duration of the withholding tax
22 capture revenues to be authorized under this section and shall
23 enter into a written agreement as provided in this section for a
24 duration determined by the fund. Subject to subsection (3), in
25 determining the maximum amount and maximum duration of the
26 withholding tax capture revenues authorized in the written
27 agreement, the fund shall consider the following factors, if
28 applicable:

29 (a) The number of certified new jobs to be created.



1 (b) The degree to which the median annual wage of the
2 certified new jobs exceeds the median annual wage in the prosperity
3 region in which the proposed facility would be located.

4 (c) The potential impact of the proposed expansion,
5 development, or location on the economy of this state.

6 (d) The estimated amount of withholding tax capture revenues
7 under this section and the value of assistance provided by persons
8 or entities other than this state.

9 (e) Whether the proposed expansion, development, or location
10 will occur in this state without the payment of withholding tax
11 capture revenues offered under this section.

12 (f) Whether the applicant has approval for a grant, loan, or
13 other financial assistance for the investment in the facility from
14 the federal government or would be eligible to claim a federal
15 investment tax credit for the investment in the facility.

16 (3) The fund may allow an applicant to receive up to 100% of
17 withholding tax capture revenues for certified new jobs for a
18 period of not more than 30 years.

19 (4) As used in this section:

20 (a) "Applicant" means the eligible business that submits an
21 application to enter into a written agreement under this section
22 and any related business that also will be a party to the written
23 agreement.

24 (b) "Qualifying investment level" means an investment of not
25 less than \$20,000,000.00 made at a facility as of a date
26 provided in a written agreement.

27 Sec. 90y. (1) After receipt of an application in a form
28 determined by the fund, the fund may enter into a written agreement
29 under this chapter with an eligible business located in this state



1 for withholding tax capture revenues as provided under this section
2 if the fund determines that all of the following requirements are
3 or will be satisfied:

4 (a) The eligible business satisfies 1 or more of the
5 following:

6 (i) The eligible business maintains its North American
7 headquarters or global headquarters in this state.

8 (ii) The eligible business has at least 30% of its business
9 activity in this state engaged in nonmanufacturing activities.

10 (iii) The principal business operations of the eligible business
11 are located in this state.

12 (b) The eligible business proposes to maintain at a facility
13 50 or more full-time jobs within this state that otherwise are at
14 risk of transfer to another state or elimination.

15 (c) The eligible business proposes to maintain during the term
16 of a written agreement with the fund a base employment level,
17 including any protected jobs.

18 (d) The eligible business proposes to maintain during the term
19 of a written agreement with the fund annual payroll payments for
20 its full-time employees in this state at an amount equal to or
21 greater than annual payroll payments of the eligible business
22 during the calendar year immediately preceding the date the written
23 agreement is executed.

24 (e) The eligible business proposes to make new investments in
25 this state not later than 5 years after the date the written
26 agreement is executed equal to not less than \$100,000.00 for each
27 protected job maintained under subdivision (b).

28 (f) The eligible business proposes to make additional
29 investment in this state during the term of the written agreement.



1 (g) The investment by the eligible business and the
2 maintenance of a base employment level, including any protected
3 jobs in this state, will serve the public purpose of benefiting the
4 people of this state by maintaining opportunities for employment
5 and by strengthening the economy of this state, as determined by
6 the fund.

7 (h) The withholding tax capture revenues offered under this
8 section and paid from the more jobs for Michigan fund are an
9 incentive to maintain the protected jobs in this state.

10 (i) A regional economic model cost benefit analysis recognized
11 by economic development professionals indicates that the proposed
12 payment of withholding tax capture revenues under this section to
13 an eligible business will avoid an overall negative fiscal impact
14 to this state.

15 (j) The eligible business will maintain the base employment
16 level and the payroll for the protected jobs throughout the
17 duration of the written agreement. However, if the eligible
18 business fails to maintain the base employment level, including the
19 requisite number of protected jobs as provided in the written
20 agreement, the eligible business will forfeit withholding tax
21 capture revenues as provided in the written agreement.

22 (k) The eligible business demonstrates to the satisfaction of
23 the fund that the eligible business has paid taxes levied by the
24 federal government, this state, another state, or a political
25 subdivision of this state or another state that are due and payable
26 by the eligible business before any penalty for nonpayment of the
27 tax has attached, except for taxes contested in good faith and
28 pursuant to proceedings authorized by law.

29 (2) If the fund determines that all of the requirements under

1 subsection (1) are or will be satisfied, subject to subsection (3),
2 the fund shall determine the amount and duration of the withholding
3 tax capture revenues to be authorized under this section and shall
4 enter into a written agreement as provided in this section for a
5 duration determined by the fund. Subject to subsection (3), in
6 determining the maximum amount and maximum duration of the
7 withholding tax capture revenues authorized, the fund shall
8 consider the following factors, if applicable:

9 (a) The base employment level and the number of protected jobs
10 to be maintained.

11 (b) Whether providing an incentive for the maintenance of the
12 protected jobs in this state aligns with any strategic plan for
13 state economic development applicable to the fund.

14 (c) Whether the protected jobs maintained are located in an
15 eligible distressed area or a geographically disadvantaged area.

16 (d) The impact of maintaining the protected jobs on the supply
17 chain in this state.

18 (e) The level of investment by the eligible business in
19 relation to the number of protected jobs the eligible business
20 proposes to maintain.

21 (f) The potential impact of maintenance of the protected jobs
22 on the economy of this state and the overall positive return to
23 this state.

24 (3) The fund may allow an eligible business to receive up to
25 100% of withholding tax capture revenues for protected jobs for a
26 period of not more than 20 years.

27 (4) As used in this section, "principal business operations"
28 means the location or locations of a person where not less than 60%
29 of its employees work or where employees of the person paid not



1 less than 60% of the person's total payroll expenditures perform
2 work for the person.

3 Sec. 90z. (1) Not later than March 15 and September 15 of each
4 year, the fund shall transmit to each member of the legislature,
5 the governor, the clerk of the house of representatives, the
6 secretary of the senate, and the senate and house fiscal agencies a
7 report on the activities of the more jobs for Michigan program. The
8 report must include all of the following for each written agreement
9 entered into under this chapter:

10 (a) The name of the authorized employer.

11 (b) The number of certified new jobs or protected jobs
12 required to be created or maintained.

13 (c) The amount and duration of the withholding tax capture
14 revenues.

15 (2) Not later than January 1, 2032, the fund shall conduct a
16 formal review of the more jobs for Michigan program and submit a
17 report to the senate and house of representatives appropriations
18 subcommittees with jurisdiction over the budget of the fund, the
19 senate and house fiscal agencies, the senate and house policy
20 offices, and the state budget office on the performance and
21 effectiveness of the more jobs for Michigan program. The department
22 may use the economic development incentive evaluations prepared
23 under the economic development incentive evaluation act, 2018 PA
24 540, MCL 18.1751 to 18.1759, to satisfy this subsection.

25 Enacting section 1. The Michigan business tax act, 2007 PA 36,
26 MCL 208.1101 to 208.1519, is repealed effective for tax years that
27 begin after December 31, 2030.

28 Enacting section 2. The Michigan economic growth authority
29 act, 1995 PA 24, MCL 207.801 to 207.810, is repealed effective



1 December 31, 2030.

2 Enacting section 3. This amendatory act does not take effect
3 unless Senate Bill No. 472 of the 103rd Legislature is enacted into
4 law.



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